RENNES SCHOOL OF BUSINESS
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09/03/2026

MCDONALD'S

Sector GICS: Consumer Cyclical

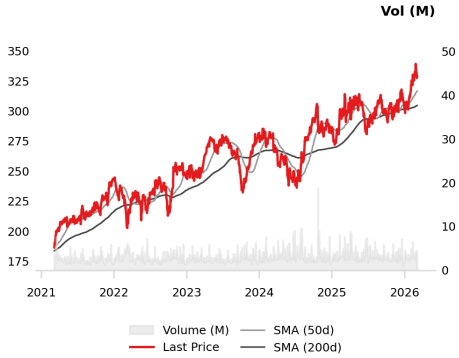
Ticker: MCD

Price: 328.06 $
YTD Perf.: +7.9%
Market Cap: 234.1 Bn $

HOLD

DCF Value: 176.40 $ (-46.2%)
Consensus: 354.0 $ (+7.9%)

McDonald's (MCD) - 5Y Price History
As of 09 Mar 2026



Company Overview:

McDonald's Corporation is the world's largest quick-service restaurant chain, serving over 69 million customers daily across more than 100 countries. Its global presence and iconic brand provide significant competitive advantages. The company operates through a largely franchised model, generating revenue from royalties, rent, and initial fees, alongside sales from company-operated restaurants.

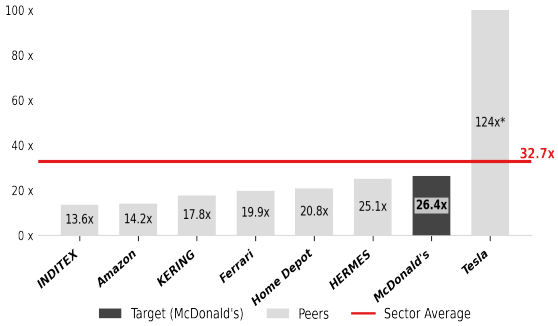
1. U.S. (39% of Rev): Represents company-operated and franchised restaurants across the United States, its largest market.

2. International Operated Markets (IOM) (45% of Rev): Includes company-operated and franchised restaurants in key international markets like Australia, Canada, France, Germany, and the UK.

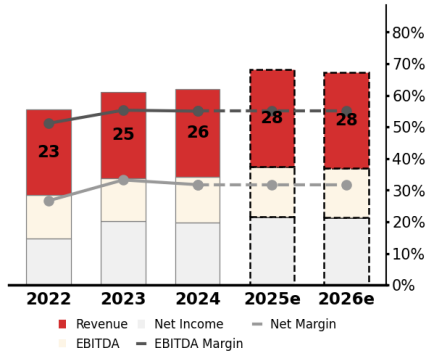
3. International Developmental Licensed Markets & Corporate (IDL) (16% of Rev): Comprises markets where the company licenses its brand to third-party operators, plus corporate activities.

Financials (Bn $)	2022	2023	2024	2025e	2026e
Revenue	23.2	25.5	25.9	28.4	28.1
EBITDA	11.9	14.1	14.3	15.6	15.4
EBITDA Margin	51.1%	55.3%	55.0%	55.0%	55.0%
Net Income	6.2	8.5	8.2	9.0	8.9
EPS	8.33	11.56	11.39	12.49	12.33
Free Cash Flow	5.5	7.3	6.7	7.3	7.2
ROCE	22.2%	23.8%	23.1%	23.1%	23.1%
Net Debt / EBITDA	3.9x	3.4x	3.6x	3.6x	3.6x
P/E Ratio	39.4x	28.4x	28.8x	26.3x	26.6x
Dividend Yield	1.7%	1.9%	2.0%	2.2%	2.2%

EV/EBITDA Comparison (Consumer Cyclical)



McDonald's: Financial Performance (2022-2026e)



Investment Thesis:

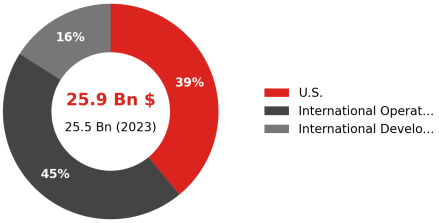
McDonald's benefits from an unparalleled global brand, extensive real estate portfolio, and efficient supply chain, creating significant entry barriers. Its franchised model ensures high-margin, recurring revenue streams with strong visibility. This asset-light approach drives robust free cash flow generation and impressive operating margins, underpinning its financial stability and ability to return capital to shareholders. The company's consistent performance highlights its resilient business model.

In a dynamic consumer landscape, McDonald's is well-positioned to capitalize on demand for convenient, value-driven meals. Its "Accelerating the Arches" strategy, focusing on digital, delivery, and drive-thru (3Ds), enhances customer experience and operational efficiency. This strategy, coupled with menu innovation and market expansion, strengthens its competitive advantage against both traditional quick-service restaurants and emerging food service trends, ensuring long-term relevance and growth.

McDonald's stock has demonstrated positive momentum year-to-date, with a **+7.9%** performance, reflecting investor confidence. The company currently commands a substantial **234.1 Bn $** market capitalization. Recent earnings calls highlighted strong comparable sales growth driven by strategic pricing and digital engagement. Upcoming catalysts include further expansion of its loyalty program, continued menu innovation, and potential market share gains in international markets, which could sustain positive sentiment and operational performance.

Our proprietary Discounted Cash Flow (DCF) analysis, utilizing a **7.5% WACC** and a **2.5% terminal growth rate**, indicates a calculated intrinsic value of **176.40 $**. This suggests the stock is currently **overvalued**, with a potential downside of **-46.2%** from the current price of **328.06 $**. The DCF relies on a short-term growth of **9.7%**. However, the analyst consensus target price of **354.0 $** implies a **+7.9%** upside. This divergence suggests the market is assigning a significant "growth premium" to McDonald's, not fully captured by our conservative DCF model, reflecting its exceptional brand moat and strategic execution.

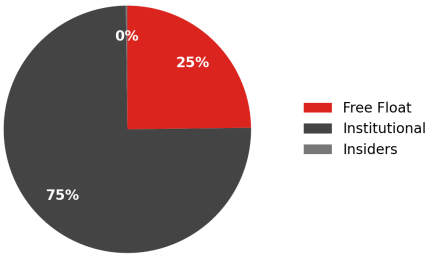
Geographic Revenue Breakdown



Executive Management:

Chris Kempczinski	CEO
Jo Sempels	CFO
Ian Borden	PRES
Francesca DeBiase	CSCO
Morgan Flatley	CMO

Shareholding Structure
As of 09 Mar 2026



Top 6 Shareholders:

Vanguard Group Inc.	9.0%
BlackRock Inc.	7.5%
State Street Corp	4.5%
Capital World Investors	3.0%
Geode Capital Management LLC	2.0%
Fidelity Management & Resear..	1.5%

Key Risks:

- **Competition:** Intense competition from QSRs and fast-casual chains could pressure sales and margins, impacting market share and profitability.
- **Consumer Preferences:** Shifting consumer tastes towards healthier options or premium dining may reduce demand for traditional fast food.
- **Supply Chain:** Disruptions in global supply chains, commodity price volatility, or labor shortages could increase costs and operational complexity.
- **Regulatory Changes:** New regulations regarding food safety, labor practices, or environmental standards could impose significant compliance costs.
- **Brand Reputation:** Negative publicity related to food quality, labor issues, or social responsibility could severely damage brand trust and sales.

Sources:

Annual Report MCD (FY2024)
Analyst Consensus (Bloomberg / LSEG Data)
Market Financial Data (Yahoo Finance API)
Qualitative AI Synthesis (Proprietary Model)

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